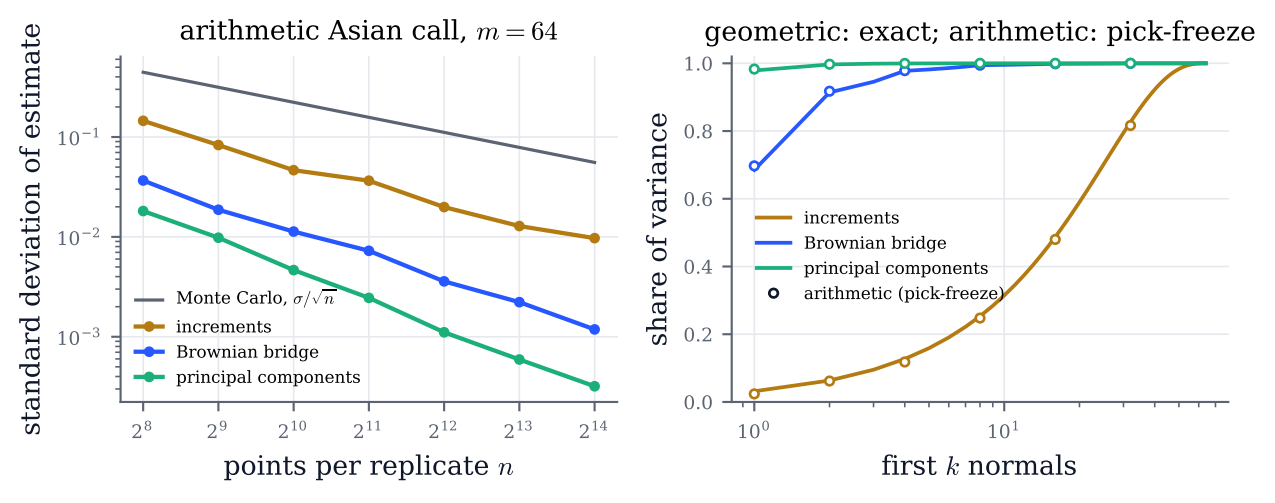
arithmetic Asian call, $m = 64$
standard deviation of estimate
10^{-1}
10^{-2}
10^{-3}
Monte Carlo, $\sigma/\sqrt{n}$
increments
Brownian bridge
principal components
2^8
2^9
2^{10}
2^{11}
2^{12}
2^{13}
2^{14}
points per replicate n
geometric: exact; arithmetic: pick-freeze
share of variance
1.0
0.8
0.6
0.4
0.2
0.0
increments
Brownian bridge
principal components
arithmetic (pick-freeze)
10^0
10^1
first k normals